



The Talent Partner Unlocking Tomorrow's Workforces

Retail Banking, KYC & Financial Crime Foundations

KYC, CIP, CDD & Screening Fundamentals

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SECTION A — KYC, CIP, CDD & Customer Risk Profiling

KYC, CIP, CDD & Customer Risk Profiling

A foundational guide to Know Your Customer principles, identity verification, due diligence, and financial crime compliance.



KYC's Role in Financial Crime Compliance



What is KYC?

Know Your Customer is the process through which a bank identifies customers, understands their purpose, assesses financial-crime risk, and keeps information updated throughout the relationship.

Why It Matters

Without understanding the customer, it is difficult to determine whether their transactions are normal, unusual, or potentially suspicious.



KYC vs CIP vs CDD vs EDD

Four related but distinct concepts — each answers a different question about the customer.



KYC – Know Your Customer

Broad umbrella framework for knowing and understanding the customer throughout the banking relationship.

"Who is our customer?"



CIP – Customer Identification Program

Regulatory requirement to obtain identifying information and use risk-based procedures to verify identity.

"Is this customer really who they say they are?"



CDD – Customer Due Diligence

Understanding the nature and purpose of the relationship, developing a risk profile, and conducting ongoing monitoring.

"Why are they banking with us and what activity should we expect?"



EDD – Enhanced Due Diligence

Additional scrutiny where the customer, relationship, or activity presents heightened risk.

"Because the risk is higher, what more do we need to know?"

Customer Identification Program (CIP)

CIP is a mandatory part of a bank's BSA/AML program. The bank must use **risk-based procedures** that enable it to form a "**reasonable belief that it knows the true identity of each customer.**"

Obtain Information

Collect required customer identifying information before account opening.

Verify Identity

Use documentary and/or non-documentary methods to verify the information collected.

Maintain Records

Retain CIP records and provide customers with required notice about identity verification.

Check Government Lists

Screen against applicable government lists where required by policy.



Who Is a "Customer" & What Does CIP Require?

CIP "Customer" Definition

Generally, a person who opens a new account, or an individual opening an account for someone lacking legal capacity (e.g., a minor) or a non-legal entity (e.g., a civic club).

Minimum Information – Individual

Field	Example
Name	John Michael Smith
Date of Birth	15 March 1995
Address	Residential or business street address
ID Number	SSN/TIN or other permitted number

Important Distinction

❏ **Collecting information ≠ verifying identity.** The bank first obtains identifying information, then uses documentary and/or non-documentary methods to verify it.



Documentary Verification

For Individuals

- Driver's License or State ID
- U.S. or Foreign Passport
- Permanent Resident Card / Green Card
- Military or other government-issued photo ID

For Legal Entities

- Certified Articles of Incorporation
- Certificate of Formation / Organization
- Government-Issued Business License
- Partnership Agreement or Trust Instrument

Key Verification Checks

Is the document valid and **unexpired**?

Does the **name and photo** match the customer?

Are DOB, address, and ID details **consistent**?

Does the document appear **altered or suspicious**?

📄 Collecting a document is not enough — the bank must use it to **reasonably verify** the customer's identity.

Non-Documentary Verification

Verifying identity using independent information or methods — without relying solely on an identification document.



Contact the Customer

Call, email, or independently contact the customer using verified contact information.



Public / Commercial Databases

Compare name, address, DOB against reliable public or third-party records.



Consumer Reporting Agency

Cross-check customer information with consumer reporting agency data.



References & Financial Statements

Confirm customer information via other financial institutions or financial statements.



Non-documentary methods are especially useful for remote account openings, unfamiliar documents, or when document information is inconsistent.

Reasonable Belief & When Identity Cannot Be Verified

Combined Verification Approach

Banks may use documentary methods, non-documentary methods, or **both** — depending on the customer, account type, onboarding method, and risk level.

The Reasonable Belief Standard

"The bank must obtain and verify enough information to form a reasonable belief that it knows the true identity of the customer."

The goal is not absolute certainty — it is sufficient, reliable, and consistent information.

When Identity Cannot Be Verified

Depending on bank policy, the bank may:

Restrict

Limit account activity

Decline

Do not open the account

Close

Exit the relationship

Escalate

Consider SAR if appropriate



CIP Record Retention: Identifying information is generally retained for **five years** after account closure.



What Is CDD?

CDD is the process of understanding **who the customer is**, the **nature and purpose** of the banking relationship, and the customer's **expected activity** — enabling the bank to assess risk and identify unusual behavior.

Nature & Purpose

Why does the customer need the account? How will it be used? What activity makes sense?

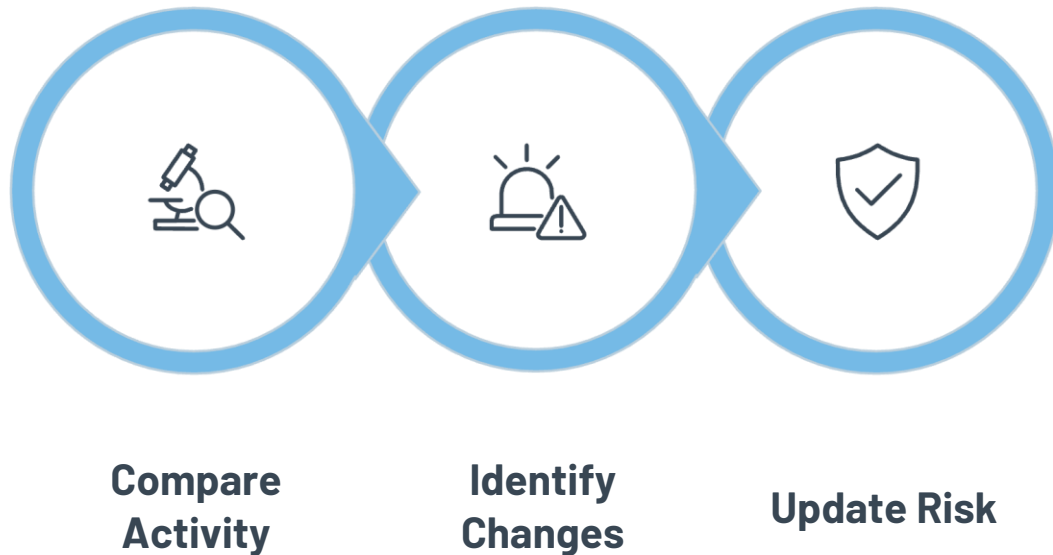
Customer Risk Profile

Occupation, income, geography, products, expected activity, ownership, and other relevant risk factors.

Expected Activity

Expected activity is not guaranteed — it provides a **baseline context** against which actual transactions are compared.

Ongoing Monitoring & KYC Reviews



Ongoing Monitoring

Banks compare actual customer activity against the established profile to identify changes or behavior that may be unusual or suspicious. This link between the customer profile and transaction monitoring is explicitly embedded in U.S. CDD expectations.

KYC Review Triggers

Periodic Reviews: Bank policy determines operational review cycles.

Event-Driven Reviews: Material changes may trigger reassessment outside the standard cycle.

Individual vs. Legal Entity KYC

Area	Individual Customer	Legal Entity Customer
Who is the customer?	A natural person opening an account in their own name	A company, LLC, partnership, or other qualifying legal entity
Main KYC Focus	Verify the identity of the individual	Verify entity existence; identify individuals who own/control it
CIP Information	Name, DOB, address, identification number	Entity name, principal place of business, TIN/EIN
Risk Assessment	Occupation, geography, products, expected activity	Business type, ownership, industry, geography, counterparties

Individual KYC

"Who is this person?"

Legal Entity KYC

"Is this business genuine, what does it do, and who ultimately owns or controls it?"



Common KYC Documents

Individual Customer

- U.S. Passport / Driver's License / State ID
- Permanent Resident Card or Foreign Passport
- SSN, ITIN, or other permitted ID number
- Address documents: utility bill, bank statement, lease
- CDD/EDD: employment, income, source of funds/wealth, expected activity

Legal Entity Customer

- Articles / Certificate of Incorporation or Formation
- Partnership Agreement, Business License, or Trust documents
- EIN / TIN and state registration details
- Business name, address, nature of business, purpose of account
- Ownership & control information; authorized signatories

📄 For legal entities, the bank also identifies **beneficial owners** (individuals owning 25%+) and one **control person** with significant management responsibility.

Who Is a Beneficial Owner?

Definition

A beneficial owner is the individual who **ultimately owns or controls** a legal entity, even if the account is held in another name.

Ownership Prong

Each individual owning 25% or more of the equity interest, if any.

Control Prong

One individual with **significant responsibility** to manage or control the entity.

Fallback Beneficial Owner – A senior managing official identified when no natural person can be determined as the beneficial owner through ownership or control after reasonable steps.

Source of Funds vs. Source of Wealth

Source of Funds

What funded the **specific transaction or account**?

- Salary / employment income
- Business revenue
- Sale of property or investments
- Loan proceeds
- Inheritance or gift from family
- Rental income or insurance payout

Source of Wealth

How did the customer accumulate their **overall wealth**?

- Long-term employment / professional earnings
- Ownership of a successful business
- Investments and capital gains
- Real estate ownership
- Family wealth / inheritance
- Sale of a company or entrepreneurial activities



Enhanced Due Diligence (EDD)

EDD applies additional scrutiny where the customer, relationship, or activity presents **heightened risk**.



Additional Information

Gather deeper information on identity, ownership structure, and business activities.



Source of Funds & Wealth

Obtain and corroborate the origin of funds and how overall wealth was accumulated.



Adverse Information

Review negative news, sanctions, and other adverse information relevant to the customer.



Senior Approval & Monitoring

Apply enhanced monitoring and obtain appropriate senior management approvals per policy.

Key Takeaways

1 **KYC is the overall framework**

CIP identifies and verifies; CDD understands and monitors; EDD investigates deeper when risk is higher.

3 **The customer profile enables monitoring**

Expected activity provides the baseline. Deviations from the profile may indicate suspicious behavior.

2 **Reasonable belief is the standard**

Banks must gather sufficient, reliable, and consistent information — not achieve absolute certainty.

4 **Higher risk means appropriate controls – not automatic rejection**

This is a critical concept for new analysts: elevated risk triggers enhanced due diligence, not automatic customer exit.



SECTION B — SANCTIONS SCREENING

Sanctions, PEP & Adverse Media Screening

Checking customers, beneficial owners, counterparties, and transactions against sanctions lists, PEP databases, adverse media, and watchlists to identify risk and determine whether escalation is required.

Sanctions

PEP

Adverse Media

Internal / Watch Lists



Customer Screening vs. Transaction Screening

Customer Screening

Checking the customer and related parties (beneficial owners, authorized signers) against sanctions, PEP, adverse media, and watchlists — typically during onboarding and ongoing reviews.

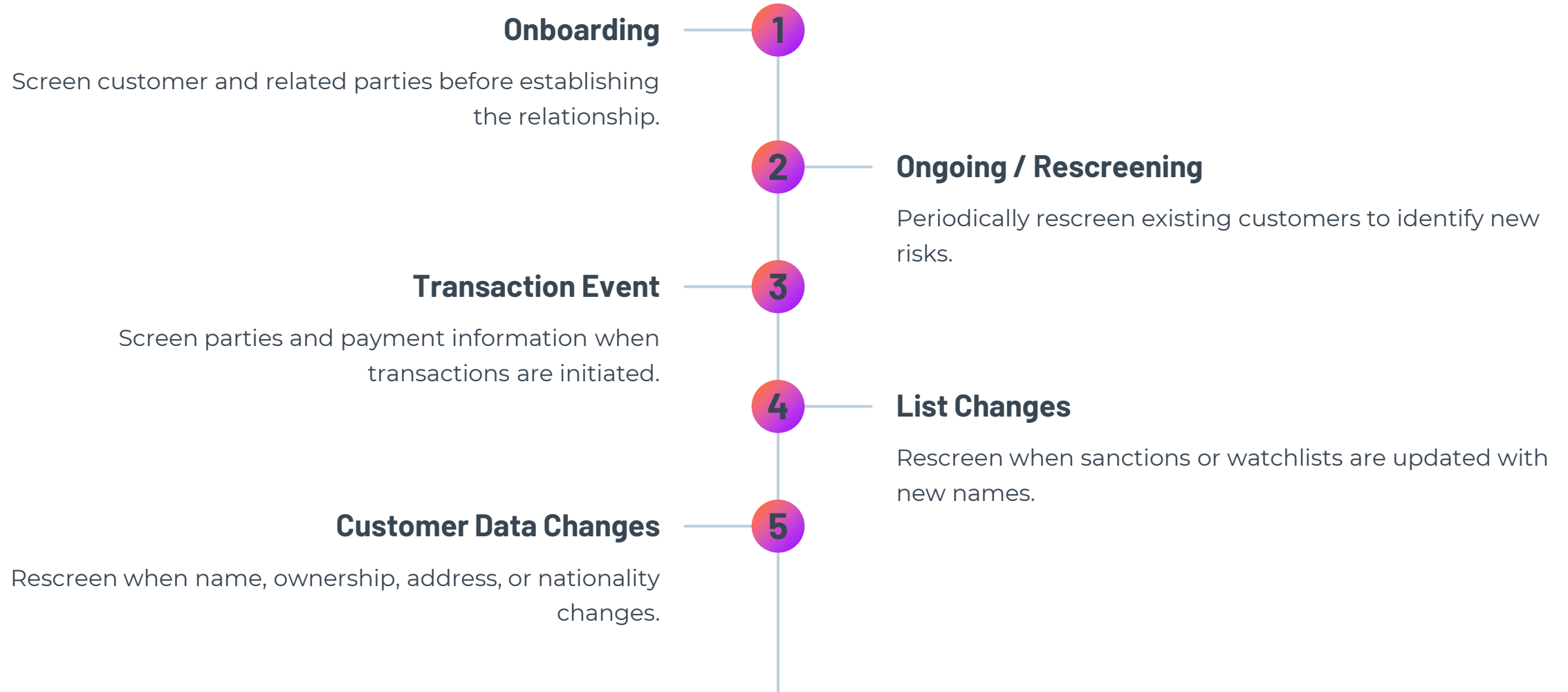
"Who are we dealing with?"

Transaction Screening

Checking payment information — sender, beneficiary, banks, countries, and payment details — against sanctions restrictions to identify potentially prohibited transactions before or during processing.

"Who/what is involved in this payment?"

The Screening Lifecycle



Introduction to OFAC

The U.S. Treasury's sanctions authority administering multiple economic and trade sanctions programs. Restrictions differ by program and can include blocking and other prohibitions.

SDN List

Blocked persons/entities — U.S. persons generally prohibited from dealing with them.

Non-SDN Lists

Persons subject to narrower, program-specific sanctions restrictions.

Program-Specific

Restrictions targeting countries, sectors, activities, or transaction types.



Sanctions Are More Than a List

⚠️ **"Not on SDN List" does not automatically mean "no sanctions risk."**

Always assess:

- **Ownership**
- **Jurisdiction**
- **Activity / Sector**
- **Authorization / License**

SDN A → 60%

Blocked ✓

SDN A 30% + SDN B 20%

Blocked ✓

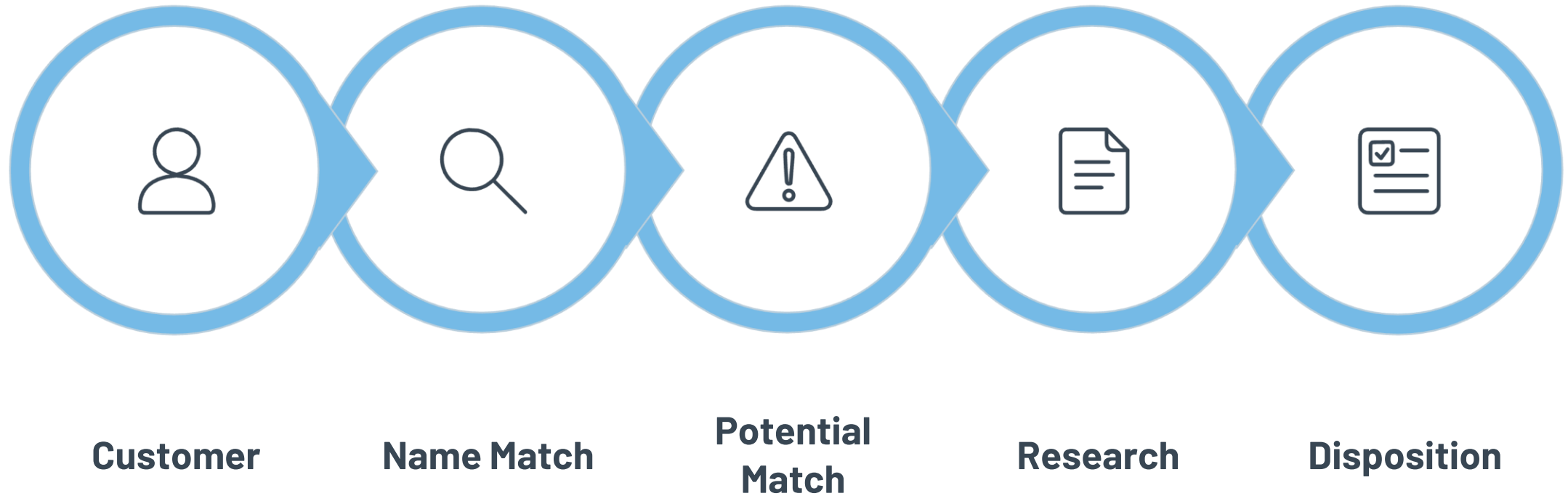
SDN A → 49%

Not auto-blocked — still investigate

OFAC 50% Rule

An entity owned **50% or more in aggregate** by one or more blocked persons is considered blocked — even if not separately listed.

Sanctions Screening Process



Exact vs. Fuzzy Matching

Why Names Generate False Positives

- Common names
- Transliteration variations
- Different spellings / name order
- Aliases
- Incomplete customer data

Match Attributes to Compare

Name & Alias

Date of Birth

Nationality

Address

Passport / ID

Entity Info

False Positive vs. Potential Match vs. True Match

False Positive

Alert appears similar to a listed party, but investigation **confirms it is not** the same person or entity.

Potential Match

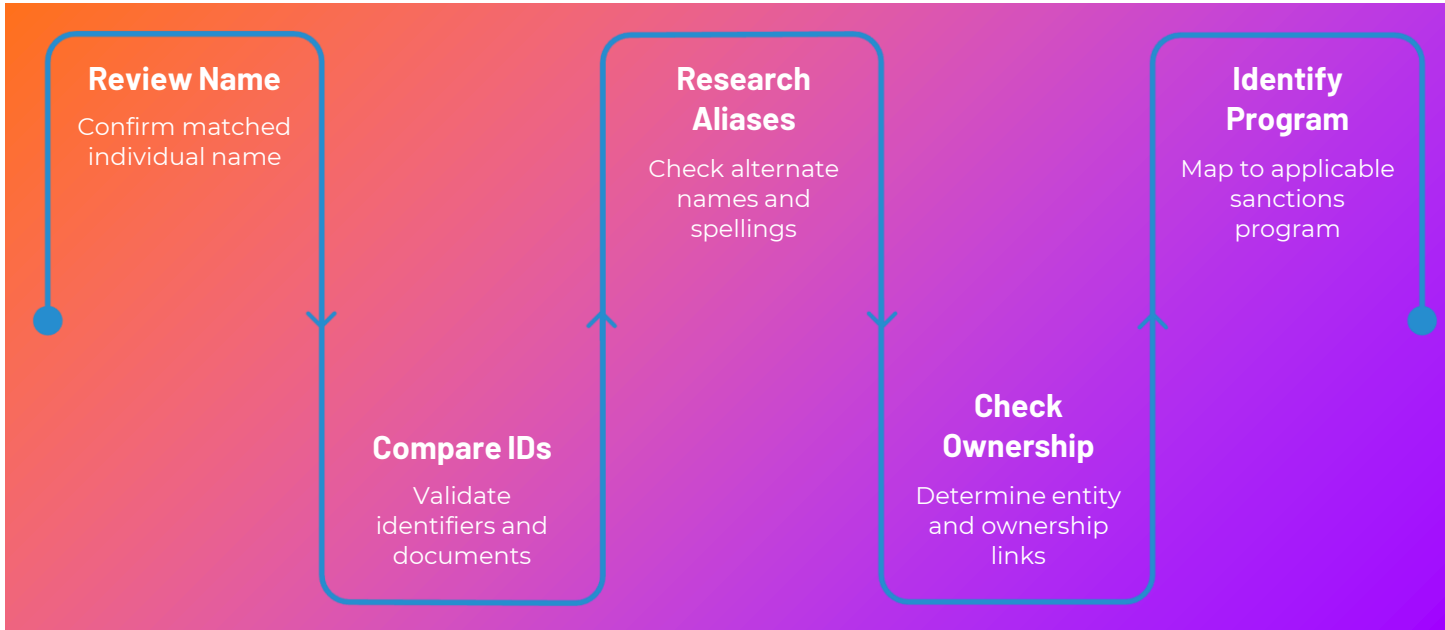
Information is similar or **insufficient to rule out** a match — further investigation or escalation required.

True Match

Investigation **confirms** the customer or counterparty is the same person or entity on the sanctions/watchlist.

 Not a match → Needs investigation → Confirmed match

Sanctions Alert Investigation



Blocking vs. Rejecting

Do **not** assume every sanctions hit gets blocked. Whether an activity must be blocked, rejected, or can proceed depends on the particular sanctions rule and program.

OFAC Compliance Framework

- Risk assessment
- Screening & escalation
- Internal controls
- Testing & training



SECTION C — PEP SCREENING & ADVERSE MEDIA SCREENING



Who Is a PEP?

A **Politically Exposed Person** is an individual in a prominent political function, their immediate family, close associates, and businesses they hold or control.

Foreign PEPs

Entrusted with prominent public functions by a foreign country.

Domestic PEPs

Entrusted domestically with prominent public functions.

International Org PEPs

Prominent roles such as secretary general, executive director, or president of an international organization.

PEP Risks & Identification

Why PEPs Pose Risk

PEPs may direct government contracts for kickbacks, influence legislation for bribes, or misappropriate government funds.

⊗ **PEP ≠ Sanctioned Person** — a critical distinction.

Broad Definition Includes

- Immediate family members
- Close friends or associates
- Businesses owned or controlled by those individuals

PEP Risk Factors

**Position /
Influence**

Jurisdiction

Products Used

**Transaction
Activity**

**Source of Funds /
Wealth**

**Adverse
Information**

What Is Adverse Media?

Negative information from credible public sources indicating a customer's potential involvement in financial crime, misconduct, regulatory violations, or other high-risk activities.



Reliable Source?

Verify the credibility and independence of the source.



Same Person?

Confirm the subject matches your customer.



Allegation or Conviction?

Distinguish between unproven allegations and confirmed findings.



Recent & Relevant?

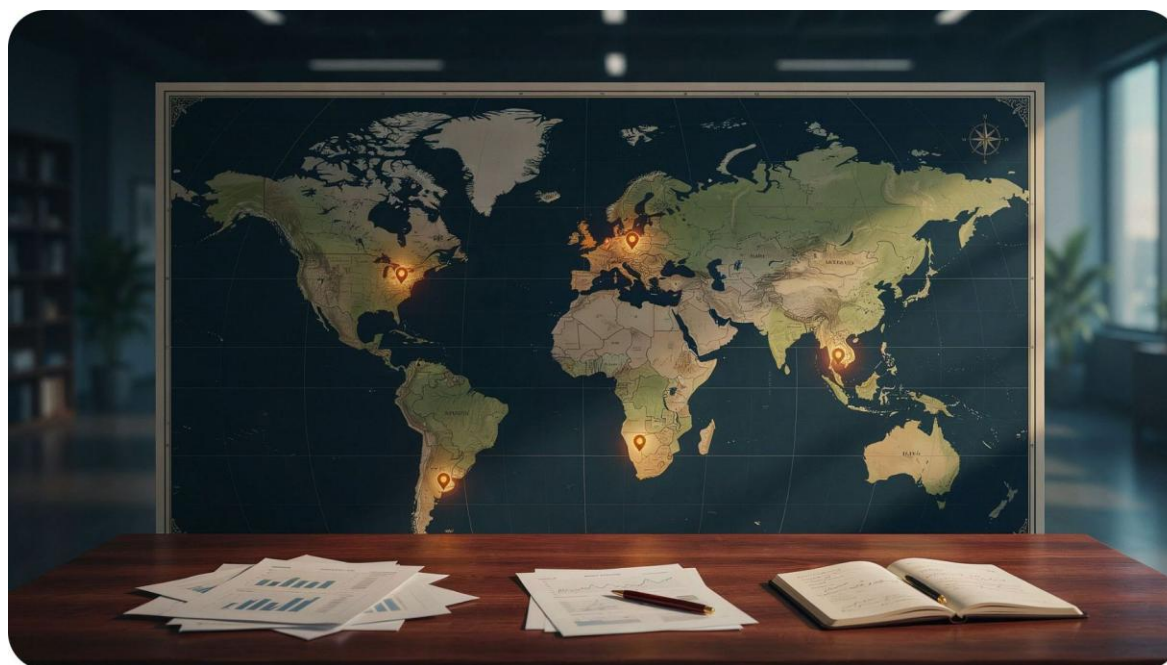
Assess recency and connection to financial crime risk.



Corroborated?

Look for confirmation from multiple independent sources.

High-Risk Countries & Jurisdictions



Know the Sources – Not a Static List

OFAC Sanctions Programs

Country and region-specific restrictions.

FinCEN Advisories

U.S. financial intelligence advisories and actions.

FATF Grey & Black Lists

Jurisdictions under increased monitoring or subject to a call for action.

Internal Country-Risk Methodology

Your institution's own risk-based country assessment.

Key Takeaways

1 **Screening is multi-dimensional**

Covers customers, transactions, and related parties across the full relationship lifecycle.

2 **SDN absence ≠ no sanctions risk**

Apply the 50% rule, assess ownership, jurisdiction, sector, and applicable program.

3 **PEP ≠ Sanctioned Person**

PEPs require enhanced due diligence — not automatic blocking. Use a broad definition including family and associates.

4 **Adverse media requires judgment**

Assess source reliability, identity confirmation, relevance, and corroboration before acting.

5 **Know your risk sources**

Use OFAC, FinCEN, FATF, and internal methodology — not a memorized static country list.